RF Capital Management LLC

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Dear Investors,

RF Capital returned +6.34%[1] net of all fees in the second quarter of 2026.

During Q2, we executed a deliberate portfolio reset. Cash rose from 29% at the beginning of the quarter to more than 80% in May as we sold investments that no longer deserved capital relative to the opportunities we were finding.

By the end of the quarter, cash had declined to 38%, and our five largest positions accounted for approximately 43% of the portfolio.

We continued deploying capital after quarter-end. As of today, we are fully invested, and our five largest positions account for approximately 63% of the portfolio. The change was driven by opportunity, not a market call.

Q2 PORTFOLIO RESET

The main project during Q2 was rebuilding the portfolio. This was not turnover for its own sake. We reviewed every holding and compared it against new ideas and the best companies on our watchlist. The question was not whether a stock looked cheap or might eventually work. The question was whether it deserved capital relative to everything else we could own.

At the beginning of Q2, the portfolio included a mix of compounders, deep-value companies, special situations, and legacy holdings. The mandate remains flexible, but flexibility is not a reason to spread capital and research time across marginal ideas. A stock can be undervalued and still be the wrong investment if the business is not growing, the catalyst is unclear, or the share price continues to make new lows.

As a result, the majority of our capital is now directed toward two types of companies: emerging compounders and businesses at an early inflection point. Special situations will remain part of the strategy, but they must have a clear catalyst and a downside that can be reasonably underwritten.

That shift will produce a more concentrated portfolio going forward. We do not need a large number of positions to express our best ideas. Too many small positions dilute the impact of the companies we know best and consume time that is better spent on our largest holdings.

INVESTMENT STRATEGY

We look for small or underfollowed businesses that are growing quickly, have a clear reason for that growth to continue, and should become more profitable as they scale.

[1] RF Capital returns are calculated on a composite basis. Individual returns may vary based on the timing of investment and the fee schedule. Past performance is not indicative of future results.

In some cases, the growth is already visible. In others, we invest before the inflection when the evidence of acceleration is clear and the path toward materially higher earnings is credible. Direction and durability matter more than any single quarterly growth rate. There must be an identifiable reason for the business to improve, such as a new product, added distribution, capacity expansion, a changing business mix, or better execution under a new management team.

Growth alone, however, is not enough. Price action is important. When results improve while a stock holds near its highs, it often confirms that the market is beginning to recognize the same change. A low valuation is not protection if the business is deteriorating and the share price keeps making new lows.

Alongside growth and price action, valuation remains central to the process. We underwrite what a business could reasonably earn over the next two to three years and compare that estimate with the current price. We ask what must go right, what could go wrong, and how much of the expected return depends on multiple expansion. If everything must go right for us to make money, we pass.

This framework is especially useful in our primary hunting ground: small and micro-cap companies. Our size allows us to invest in companies that are too small or illiquid for larger funds. We also continue to search outside the United States. Investing globally has expanded the number of companies we can study and gives us more chances to find something unusual. We do not expect leverage or a material short book to drive returns.

IDEA GENERATION

To cover that opportunity set more efficiently, we made idea generation more systematic. Each week, we screen for companies in the U.S. and Canada and rotate through foreign markets where the filings and liquidity are workable. The screens help us cover more companies, but they do not replace research or judgment. Every candidate must survive a review of its financial history, filings, earnings calls, valuation, and price action. The objective is not to generate more ideas. It is to find the few that deserve research time and capital.

PORTFOLIO CONSTRUCTION

Once an idea survives that process, large position sizes at cost are built over time. We may initiate a starter position when the thesis is promising but important questions remain. We add as the company executes, the financial results improve, and the price action supports our work. We reduce or sell when the thesis changes, management stops executing, or another company offers a much better use of capital.

As a position grows, the amount of research must increase with it. A small starter does not require a fifty-page report. On the other hand, a position that reaches 10% or 15% of the portfolio requires much more work. At that point, we expect to have reviewed several years of filings and earnings calls, built a detailed model, contacted management or investor relations, studied competitors, conducted channel checks, and written down what would prove the thesis wrong.

The same logic governs cash. It is an output of the process. We will hold cash when there is nothing compelling to buy and deploy it when opportunities appear. The move from more than 80% cash in May to fully invested today reflects that discipline.

Additionally, concentration is intentional. Quarterly results will be uneven, but our best ideas must be large enough to matter. We accept volatility. We do not accept holding marginal ideas merely to reduce it.

COMPANY-SPECIFIC COMMENTARY

That discipline extends to how we will communicate ideas publicly going forward. As a general rule, we will not discuss individual holdings while we own them. Publishing a detailed thesis on a company we still own can create commitment bias and advertise a position while we are still purchasing shares. Neither serves our investors.

Instead, public case studies will focus primarily on completed investments, including investments that did not work. We may discuss a current holding after a full position has been established, but only when publication cannot interfere with portfolio management.

Despite this new policy, current investors will continue to receive position-level transparency through their account statements, and we remain available to discuss the portfolio.

OUTLOOK

The portfolio today is better than the one we owned at the beginning of Q2. It has more growth potential, stronger balance sheets, and clearer earnings inflections.

From here, our priorities for the second half are straightforward. We will exit smaller positions, concentrate our research on the companies that matter most, and add to positions only when those companies execute. If the facts change, we will change our minds accordingly.

Those priorities serve one objective: to put meaningful capital behind the few companies where business performance, valuation, and price action align.

Taken together, the changes made in Q2 marked the beginning of the next phase for RF Capital. The work now is to execute.

As always, thank you for your trust and continued support.

Regards,

Roger Fan
Chief Investment Officer
RF Capital Management LLC

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